Practice workbook · Preparing a manufacturer's income statement

A manufacturer's income statement, or its trading section, where finished goods inventories and production cost replace purchases.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-02

1. Question 1 · part b · 13 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part b only.

1 Josh, a manufacturer, provided the following information for the year ended 31 March 2025.

Inventory	1 April 2024 $	31 March 2025 $
Raw materials	12 630	16 350
Work-in-progress	11 850	13 270
Finished goods	20 500	31 110

	$
Non-current assets	
– cost	145 800
– provision for depreciation	53 200
Administrative expenses	19 600
Carriage outwards	3 180
Electricity	12 600
Insurance	12 000
Purchases	
– finished goods	14 000
– raw materials	164 830
Rent	53 500
Revenue	502 500
Royalties	6 000
Wages	
– administrative expenses	29 600
– factory supervisor	22 500
– production	94 100

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1. Question 1 · part b · 13 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part b only.

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Additional information at 31 March 2025

- Electricity accrued was $1 400 and rent paid in advance was $8 900
- Non-current assets are depreciated at 15% per annum using the reducing balance method.
- Depreciation, rent, electricity and insurance are apportioned 80% to the factory and 20% to administrative expenses.

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1. Question 1 · part b · 13 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part b only.

(a) Prepare the manufacturing account for the year ended 31 March 2025.

(12)

Josh
Manufacturing Account for the year ended 31 March 2025

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1. Question 1 · part b · 13 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part b only.

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1. Question 1 · part b · 13 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part b only.

(b) Prepare the income statement for the year ended 31 March 2025.

Josh
Income Statement for the year ended 31 March 2025

(13)

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1. Question 1 · part b · 13 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part b only.

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(Total for Question 1 = 25 marks)

1. Question 1 · part b · 13 marks · Working and answer

Working and answer

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2. Question 2 · part b · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

2 Hyat, a manufacturer, provided the following information for the year ended 31 December 2019.

	1 January $	31 December $
Factory machinery		
Cost	40 000	40 000
Accumulated depreciation	14 400	**To be calculated**
Inventory		
Finished goods	4 730	5 180
Work in progress	1 370	1 450
Administration expenses		13 475
Wages and salaries		
Factory indirect		15 000
Office		5 000
Rent, rates and power		
Factory		4 500
Office		1 500
Revenue		68 000

- Factory indirect wages of $250 were owing.
- Administration expenses of $1 750 were paid in advance.
- Depreciation is charged on factory machinery at 20% per annum using the reducing balance method.

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P 6 2 4 4 8 A 0 6 1 2

2. Question 2 · part b · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

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Hyat has already calculated the prime cost as shown.

(a) Complete the manufacturing account for the year ended 31 December 2019.

(6)

Hyat
Manufacturing account for the year ended 31 December 2019

	$
Prime cost	**18 750**

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2. Question 2 · part b · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

(b) Prepare the income statement for the year ended 31 December 2019.

(9)

Hyat
Income statement for the year ended 31 December 2019

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P 6 2 4 4 8 A 0 8 1 2

2. Question 2 · part b · 9 marks

2020 NOV · Paper 02

Further practice · Attempt part b only.

(c) Explain, by referring to an appropriate accounting concept, why it is necessary to adjust for a payment in advance.

(2)

Hyat provided the following ratios.

Ratio	2018	2019
Current (working capital)	1.50:1	1.50:1
Liquid (acid test)	1.02:1	0.85:1

(d) (i) Evaluate the change in liquidity.

(4)

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2. Question 2 · part b · 9 marks · Working and answer

Working and answer

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3. Question 1 · part b · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

1 Leo, a manufacturer, provided the following information for the year ended 31 March 2021.

	1 April 2020 $	31 March 2021 $
Premises		
Cost	500 000	500 000
Accumulated depreciation	100 000	**To be calculated**
Plant and machinery		
Cost	250 000	250 000
Accumulated depreciation	90 000	**To be calculated**
Inventory		
Raw materials	56 000	44 000
Work in progress	64 000	68 400
Finished goods	108 000	112 000
Carriage inwards on raw materials		1 300
Carriage outwards		2 100
Direct wages		82 400
Electricity		18 000
Factory insurance paid		9 000
Indirect factory expenses		79 500
Indirect wages paid		83 650
Other payables – indirect wages		1 350
Other receivables – factory insurance		500
Purchases of raw materials		167 500
Returns inwards		12 000
Returns outwards		17 500
Revenue		630 000
Royalties		15 000

Plant and machinery is depreciated at 20% per annum using the reducing balance method.

Premises are depreciated at 10% per annum using the straight line method.

Both electricity and depreciation on premises are apportioned 75% to the factory.

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3. Question 1 · part b · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

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(a) Prepare the manufacturing account for the year ended 31 March 2021.

(15)

Leo
Manufacturing account for the year ended 31 March 2021

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3. Question 1 · part b · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

(b) Prepare an extract of the income statement for the year ended 31 March 2021 showing the **trading section** only.

(5)

Leo
Income statement for the year ended 31 March 2021

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3. Question 1 · part b · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

Leo believes that an increase in revenue for this year has led to an improvement in profitability, even though both his gross profit percentage and return on capital employed percentage have decreased.

(c) Evaluate whether Leo is correct.

(5)

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(Total for Question 1 = 25 marks)

3. Question 1 · part b · 5 marks · Working and answer

Working and answer

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4. Question 1 · part a · 11 marks

2021 NOV · Paper 02

Further practice · Attempt part a only.

1 Thomas, a manufacturer, provided the following information for the year ended 31 March 2021 after the preparation of the manufacturing account.

	1 April 2020 $	31 March 2021 $
Office equipment		
– Cost	25 000	25 000
– Accumulated depreciation	9 000	12 200
Plant and machinery		
– Cost	200 000	200 000
– Accumulated depreciation	72 000	97 600
Inventories		
– Raw materials	20 000	25 000
– Work in progress	12 000	11 000
– Finished goods	27 500	30 000
Provision for irrecoverable debts	2 500	3 000
Revenue		425 000
Production cost		300 000
Administrative expenses paid		45 000
Carriage outwards		2 745
Office rent paid		24 000
Other payables – office rent		3 000
Other receivables – administrative expenses		5 000
Trade receivables		60 000
Cash in hand		800

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4. Question 1 · part a · 11 marks

2021 NOV · Paper 02

Further practice · Attempt part a only.

(a) Prepare the income statement for the year ended 31 March 2021.

(11)

Thomas
Income statement for the year ended 31 March 2021

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4. Question 1 · part a · 11 marks

2021 NOV · Paper 02

Further practice · Attempt part a only.

(b) Prepare **an extract** of the statement of financial position at 31 March 2021 showing the **Assets** section only.

(9)

Thomas
Statement of financial position at 31 March 2021

Assets

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4. Question 1 · part a · 11 marks · Working and answer

Working and answer

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5. Question 1 · part a.ii · 4 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

1 Dina, a manufacturer, prepared the following **incorrect** manufacturing account for the year ended 31 March 2022 from the **correct** balances in her trial balance.

Dina
Manufacturing account for the year ended 31 March 2022

	$	$
Revenue	385 000	
Depreciation charge – plant and machinery	11 200	
		373 800
Cost of sales		
Inventory of raw materials 31 March 2022	10 400	
Carriage outwards	360	
	10 040	
Purchases of raw materials	98 400	
Inventory of raw materials 1 April 2021	(9 640)	
		(98 800)
Prime cost		275 000
Factory overheads		
Royalties	1 780	
Insurance	4 000	
Electricity	9 750	
Factory rent	14 000	
Direct wages	38 400	
Indirect wages	(25 700)	
		(42 230)
Work in progress at 31 March 2022	4 430	
Work in progress at 1 April 2021	(4 200)	
Inventory of finished goods at 31 March 2022	5 850	
Inventory of finished goods at 1 April 2021	(6 750)	(670)
Production cost		232 100

Additional information

- No adjustment had been made for indirect wages owing of $1 300 and factory rent paid in advance of $2 000
- The depreciation charge did not include a full year's depreciation charge on a new machine costing $30 000. Machinery is depreciated at the rate of 20% per annum using the straight line method.
- Insurance and electricity should have been apportioned 80% to the factory and 20% to administration.

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5. Question 1 · part a.ii · 4 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

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(a) (i) Prepare the **corrected** manufacturing account for the year ended 31 March 2022.

(13)

Dina
Manufacturing account for the year ended 31 March 2022

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5. Question 1 · part a.ii · 4 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

(ii) Prepare the income statement for the year ended 31 March 2022 showing the **trading section** only.

(4)

Dina
Income statement for the year ended 31 March 2022

Dina stated that she did not have a successful year as her gross profit percentage decreased by 5%.

The following ratios were also available.

Ratio	31 March	
	2021	2022
Profit for the year as a percentage of revenue	7.56%	8.93%
Return on capital employed	14.85%	16.67%

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5. Question 1 · part a.ii · 4 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

(b) (i) State the formula for **each** ratio.

(3)

Ratio	Formula
Gross profit percentage	
Profit for the year as a percentage of revenue	
Return on capital employed	

(ii) Evaluate whether Dina is correct in her view that she did not have a successful year.

(5)

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(Total for Question 1 = 25 marks)

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5. Question 1 · part a.ii · 4 marks · Working and answer

Working and answer

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6. Question 1 · part c · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

1 (a) Explain the difference between the three types of inventories: raw materials, work in progress and finished goods.

(3)

Dingle provided the following information for the year ended 31 January 2023.

	1 February 2022 $	31 January 2023 $
Factory machinery		
– cost	89 000	128 000
– provision for depreciation	40 500	**To be calculated**
Office equipment		
– cost	36 000	36 000
– provision for depreciation	9 000	**To be calculated**
Inventory		
– raw materials	21 200	23 600
– work in progress	19 100	18 400
– finished goods	23 000	31 750

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6. Question 1 · part c · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

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	31 January 2023 $
Other payables – factory power	3 300
Other receivables – factory supervisor's wages	830
Factory power paid	38 200
General expenses	36 000
Insurance	7 800
Purchases of raw materials	198 045
Rent	46 000
Revenue	729 595
Royalties	41 300
Wages paid – production staff – factory supervisor – administration staff	 89 700 24 000 16 590

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Rent and insurance are apportioned 80% to the factory and 20% to administration.

General expenses are apportioned 90% to the factory and 10% to administration.

Depreciation is charged on:

- factory machinery at 15% per annum using the straight line method
- office equipment at 25% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase.

6. Question 1 · part c · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

(b) Prepare the manufacturing account for the year ended 31 January 2023.

(11)

Dingle
Manufacturing account for the year ended 31 January 2023

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6. Question 1 · part c · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

(c) Prepare the income statement for the year ended 31 January 2023.

(9)

Dingle
Income statement for the year ended 31 January 2023

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6. Question 1 · part c · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

(d) Explain why a manufacturer may purchase finished goods.

(2)

(Total for Question 1 = 25 marks)

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6. Question 1 · part c · 9 marks · Working and answer

Working and answer

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7. Question 1 · part a.ii · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part a.ii only.

1 Yola, a manufacturer, provided the following information for the year ended 31 March 2023.

	1 April 2022 $	31 March 2023 $
Inventory		
– raw materials	12980	19170
– work in progress	12340	11170
– finished goods	20100	37800
Carriage inwards		1610
Carriage outwards		2390
Electricity		15000
Factory rent paid		69800
Insurance		8000
Other payables – factory supervisor		350
Other receivables – factory rent		12400
Production machinery		
– cost		206500
– provision for depreciation		81000
Purchases – raw materials		186500
Revenue		827500
Royalties		12000
Wages paid		
– production		95600
– factory supervisor		37400
– administration		21500

Production machinery is depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase.

Electricity and insurance are apportioned 70% to the factory and 30% to administration.

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7. Question 1 · part a.ii · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part a.ii only.

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(a) Prepare, for the year ended 31 March 2023, the:

(i) manufacturing account

(11)

Yola
Manufacturing Account for the year ended 31 March 2023

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7. Question 1 · part a.ii · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part a.ii only.

(ii) income statement.

(9)

Yola
Income Statement for the year ended 31 March 2023

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7. Question 1 · part a.ii · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part a.ii only.

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On 1 April 2022 Yola's current (working capital) ratio was 1.8 : 1

On 31 March 2023 the ratio had fallen to 1.1 : 1

(b) (i) Evaluate the change in the current (working capital) ratio over the year.

(2)

(ii) Explain **one** way Yola can improve her working capital position.

(3)

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(Total for Question 1 = 25 marks)

7. Question 1 · part a.ii · 9 marks · Working and answer

Working and answer

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8. Question 1 · part a.ii · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part a.ii only.

1 On 30 September 2025 Joleene, a manufacturer, provided the following information.

	$
Factory machinery at 1 October 2024	
– Cost	280 000
– Provision for depreciation	100 800
Office equipment at 1 October 2024	
– Cost	50 000
– Provision for depreciation	18 000
Inventory at 1 October 2024	
– Raw materials	48 900
– Work-in-progress	23 100
– Finished goods	12 870
Inventory at 30 September 2025	
– Raw materials	54 320
– Work-in-progress	24 270
– Finished goods	10 850
Direct factory expenses	18 250
Indirect factory expenses	24 500
Insurance	32 000
Lighting and heating	50 000
Machinery repairs	1 880
Purchases of finished goods	11 930
Purchases of raw materials	134 020
Rent and rates	26 900
Returns inwards	32 100
Returns outwards (finished goods)	1 200
Returns outwards (raw materials)	4 500
Revenue	543 100
Transport costs	8 000
Wages and salaries	120 000

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8. Question 1 · part a.ii · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part a.ii only.

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Additional information at 30 September 2025

- Transport costs are apportioned 80% to purchases of raw materials and 20% to delivery of finished goods to customers.
- Non-current assets are depreciated at 20% per annum on a reducing balance basis. During the year there were no purchases or disposals of non-current assets.
- Wages and salaries include the factory supervisor's salary of $35 000. The remainder is to be apportioned 30% to direct labour, 35% to indirect labour and 35% to office administration.
- Both insurance and lighting and heating are apportioned equally between manufacturing and administration.
- Rent and rates included a payment of $2 000 for the month of October 2025.
- Rent and rates are apportioned 75% to manufacturing and 25% to administration.
- During the year Joleene took for her own use raw materials, $500, and finished goods, $750

Space for workings

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8. Question 1 · part a.ii · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part a.ii only.

(a) Prepare for the year ended 30 September 2025:

(i) the manufacturing account

(15)

Joleene
Manufacturing account for the year ended 30 September 2025

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8. Question 1 · part a.ii · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part a.ii only.

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8. Question 1 · part a.ii · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part a.ii only.

(ii) an income statement extract showing the **trading section** only.

(5)

Joleene
Income statement extract for the year ended 30 September 2025

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8. Question 1 · part a.ii · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part a.ii only.

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(b) Explain, referring to a relevant accounting concept, whether Joleene needs to maintain a record of any goods or cash withdrawn from the business for personal use.

(5)

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(Total for Question 1 = 25 marks)

8. Question 1 · part a.ii · 5 marks · Working and answer

Working and answer

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